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Reliance Jio joins hands with Microsoft to cover the digitisation needs of the MSMEs, suppliers, and dealers. Offers a relationship for lending

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Partners with BlackRock to enter the asset management space; lists Jio Financial Services on the bourses as an independent entity

Arora's Helios Capital, among others, are entering the mutual funds space, and some are trying passive funds, which JFS wants to do. Sanjiv Bajaj, Chairman and Managing Director of Bajaj Finserv, which has an AMC licence, recently said he plans to sell mutual funds to the company's 100 million existing customers.

There is also a big challenge on the funding side, as NBFCs are not allowed to raise CASA deposits, the low-cost funds loved by banks. There is also a threat of asset-liability mismatches if one lends long-term, as the funds available are short-term.

"They have many advantages to begin with, but they will need to undergo a learning process to refine their strategy or business model," says Rohit Garg, Co-founder & CEO of lending platform SmartCoin.

RBI is already very cautious about allowing a higher share of unsecured lending. A consultant notes that due to Jio's significant scale, it inherently poses some systemic risks. In addition, RBI is scrutinising the strategies of banks and NBFCs, particularly those exploring riskier avenues such as unsecured lending or offering credit to lower-rated firms. It took three decades for housing major HDFC Ltd to acquire a lending book of ₹5.68 lakh crore. But for JFS, scaling up will be very fast. Will RBI be comfortable?

The market value of JFS is ₹1.6 lakh crore, larger than Mahindra Finance, Cholamandalam, Muthoot, LIC Housing, etc. The third-largest NBFC by market cap, JFS is already causing unease for industry leader Bajaj Finance, whose stock has remained stagnant over the past two years.

With a net worth of ₹1.2 lakh crore, JFS is off to a strong start. The biggest advantage for JFS is the likely AAA rating, which will allow it to raise funds at the lowest cost. The access to low-cost funds puts the company in a much better position to play the interest rate game and increase margins in the lending business. V.K. Vijayakumar, Chief Investment Strategist at Geojit Financial Services,

remarks that the market valuation of JFS hinges on its anticipated future growth and its 6.1 per cent ownership in RIL.

"JFS is getting a premium valuation because the group's execution has been phenomenal. But you are paying for it now," says a global private equity player. Insurance behemoth Life Insurance Corporation of India (LIC), a long-term player, has already acquired 6.6 per cent of the fledgeling company.

Ma's outspokenness and high-profile global presence cut short his rise to the top and put the brakes on the world's largest IPO three years ago. That, in a way, positively helped Ambani, who had already unseated Ma from Asia's top billionaires list two years ago. There are now a lot of expectations. As Ambani dives into banking and finance, he's up against biggies such as SBI, HDFC Bank, ICICI Bank, and Kotak Mahindra Bank with a similar financial supermarket model. The industry is also heavily regulated, from lending to even collection or recovery. Ambani also has to tread carefully when dealing with group MSME customers to avoid any conflict of interest and keep an eye on the new data protection laws that safeguard people's personal information. This makes his new venture quite challenging, unlike telecom and retail.

"Jio Financial products will not just compete with current industry benchmarks but also explore path-breaking features such as blockchain-based platforms and CBDC," says Ambani. He's got his finger on the pulse of the next big disruptors in global finance. Will Ambani make strides where Jack Ma stumbled? For now, the jury is still out. **BT**

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